

Source Exclusion in Regime-Gated Forecasting: A Cross-Market Audit of Equity-Factor Predictability

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What does it mean to remove a source variable from a regime-gated forecasting system?

CENTRAL IDEA

A source can enter through explicit forecast lags and through the estimated regime gate. Compare lag removal with source exclusion from fitting, filtering and tuning; these procedures answer different questions.

MAIN FINDING

The frozen expansion studies 30 directions in four regional panels over 2025-August 2026. Among the 240 unweighted temporal contrasts, 42 change sign across exclusion definitions. No directional confidence crossing occurs among the 2,400 temporal endpoints.

EVIDENCE AND SCOPE

The initial HML-to-SMB reconstruction gives negative incremental MSE gains over 2010-2024. Independent implementations replay 4,800 interval summaries. Simulation experiments show that useful oracle information can coexist with poor fitted HMM forecasts.

LIMITS

A fitted system's failure does not establish structural noncausality. Wide uncertainty, correlated markets and revised data vintages limit generalization. Small forecast differences can explain apparent resolution without establishing a universal equivalence result.

TAKEAWAY

State the entire path by which a source enters the model before interpreting its removal as evidence about predictability.

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